

26STCV12349 26STCV12349

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Case Number: 26STCV12349 Hearing Date: September 23, 2026 Dept: 732

Young Yi Lim v. Tailor Gibbons, et
al.

Wednesday,
September 23, 2026

CASE NUMBER: 26STCV12349

OPPOSED

Defendant Okoa
Capital, LLC's Demurrer to the Complaint

Facts:

This is a derivative action brought on behalf of a California religious corporation, nominal Defendant Oriental Mission Church ("OMC"), by Plaintiff Young Yi Lim ("Plaintiff"), a member thereof. (Complaint ¶ 11.) The Complaint alleges as follows. CMC entered into an agreement with Defendants Tailor Gibbons, Freestar, Inc., and Made Solar, LLC ("Solar Defendants") to install solar panels on certain OMC property. (Complaint ¶¶ 27–43.) Solar Defendants procured this agreement by fraudulent representations as to their prior clients and as to their intention to proceed with the project, which they did not intend to proceed with following payment. (Complaint ¶¶ 29–34.) Solar Defendants directed OMC to Defendant Okoa Capital, LLC ("Okoa"), to be the financier of the project, and OMC and Okoa entered into an agreement for a loan

of \$1,150,000.00, to be secured by substantially all of OMC's real property, which in valuation vastly exceeded the loan amount. (Complaint ¶¶ 44–53.) The loan agreement is invalid because the encumbrance of all of OMC's assets was done without member approval as required by its bylaws, nor were the documents signed by the requisite number of church officers. (Complaint ¶¶ 54–68.)

Okoa paid the loan amount to OMC, OMC paid Solar Defendants, but Solar Defendants performed no work on the project. (Complaint ¶¶ 84–89.) OMC failed to make payments on the loan, Okoa declared a default, initiated foreclosure on OMC's properties, and OMC paid Okoa \$1.7 million to have its property reconveyed. (Complaint ¶¶ 90–97.)

Procedural

History: Plaintiff filed the Complaint on April 14, 2026, alleging 12 causes of action:

1.

Fraud

2.

Negligent Misrepresentation

3.

Breach of Contract (solar Agreement)

4.

Breach of Contract (Loan Payment Waiver)

5.

Breach of Contract (Memorandum of Reconveyance)

6.

Conversion

7.

Rescission

8.

Money Had and Received

9.

Money Had and Received (Okoa)

10.

Restitution and Unjust Enrichment

11.

Restitution and Unjust Enrichment

(Okoa)

12.

Failure to Reconvey

Defendant Okoa filed the present demurrer on May 22, 2026.

Plaintiff filed an opposition on September 10, 2026.

Defendant filed a reply on September 16, 2026.

Analysis:

I.

DEMURRER

A

demurrer should be sustained only where the defects appear on the face of the pleading or are judicially noticed. (Code Civ. Pro., §§ 430.30, et seq.) In particular, as is relevant here, a court should sustain a demurrer if a complaint does not allege facts that are legally sufficient to constitute a cause of action. (See *id.* § 430.10, subd. (e).) As the Supreme Court held in *Blank v. Kirwan* (1985) 39 Cal.3d 311: "We treat the demurrer as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law. . . . Further, we give the complaint a reasonable interpretation, reading it as a whole and its parts in their context." (*Id.* at p. 318; see also *Hahn v. Mirda* (2007) 147 Cal.App.4th 740, 747 ["A demurrer tests the pleadings alone and not the evidence or other extrinsic matters. Therefore, it lies only where the defects appear on the face of the pleading or are judicially noticed. [Citation.]")

“In

determining whether the complaint is sufficient as against the demurrer ... if on consideration of all the facts stated it appears the plaintiff is entitled to any relief at the hands of the court against the defendants the complaint will be held good although the facts may not be clearly stated.” (Gressley v. Williams (1961) 193 Cal.App.2d 636, 639.)

“A demurrer

for uncertainty is strictly construed, even where a complaint is in some respects uncertain, because ambiguities can be clarified under modern discovery procedures.” (Khoury v. Maly’s of Cal., Inc. (1993) 14 Cal.App.4th 612, 616.) Such

demurrers “are disfavored, and are granted only if the pleading is so incomprehensible that a defendant cannot reasonably respond.” (Mahan v. Charles W. Chan Insurance Agency, Inc. (2017) 14 Cal.App.5th 841, 848.)

A

demurrer should not be sustained without leave to amend if the complaint, liberally construed, can state a cause of action under any theory or if there is a reasonable possibility the defect can be cured by amendment. (Schifando v. City of Los Angeles, supra, 31 Cal.4th at p. 1081.) The demurrer also may be sustained without leave to amend where the nature of the defects and previous unsuccessful attempts to plead render it probable plaintiff cannot state a cause of action. (Krawitz v. Rusch (1989) 209 Cal.App.3d 957, 967.)

Defendant

Okoa Capital, LLC (“Okoa”) demurrers to each claim asserted against it by Plaintiff Young Yi Lim, derivatively on behalf of nominal defendant Oriental Mission Church, a religious corporation (“OMC”), on the following grounds. First, Okoa argues that Plaintiff lacks standing to bring a derivative claim against a third party for wrongs done to OMC, because individual members of a religious corporation can only bring claims against the corporation’s officers or directors under Corporations Code § 9141. (Demurrer at pp. 5–6.) Okoa next argues that the claims for rescission and unjust enrichment are not actual causes of action. (Demurrer at pp. 6–9.) Okoa finally argues that the claims for rescission, money had and received, and unjust enrichment fail because Okoa only received repayment of a loan obligation with OMC. (Ibid.)

Defendant

argues persuasively that Plaintiff lacks standing to bring the present action against it. The action against Okoa is for entering into a loan agreement with OMC which Plaintiff contends was not authorized per OMC's bylaws and governing statutes. (Complaint ¶¶ 54–74.)

Plaintiff's claim is thus one based on the "limitation[s] upon the activities, purposes, or powers of the corporation or upon the powers of the members, officers, or directors, or the manner of exercise of such powers," under Corporations Code § 9141, subd. (a), applicable to religious corporations.

Section

9141 states that no action based upon such limitations "shall be asserted as between the corporation or member, officer or director and any third person," except in specified circumstances. (Corp. Code § 9141, subd. (a).) The two exceptions are a proceeding:

(1)

by the authorized number of members (Section 5036), by any person authorized by the articles or bylaws to bring an action, or by the state to enjoin the doing or continuation of unauthorized activities by the corporation or its officers, or both, in cases where third parties have not acquired rights thereby, or

(2)

by the authorized number of members (Section 5036), by any person authorized by the articles or bylaws to bring an action, by any member suing in a representative suit, or by the corporation, against the officers or directors of the corporation for violation of their authority.

(Corp.

Code § 9141, subd. (a)(1), (2).) The only exception in which "any member" is authorized to bring a representative action on behalf of the religious corporation is a suit "against the officers or directors of the corporation for violation of their authority." (Corp. Code § 9141, subd. 9a.) Plaintiff thus cannot sue Okoa, a third party, on behalf of OMC, under this statute.

Plaintiff

in opposition argues that he brings the action under Corporations Code § 9142, not section 9141. (Opposition at pp. 3–4.) That statute states, "Notwithstanding Section 9141, any of the following may bring an action to enjoin, correct,

obtain damages for or to otherwise remedy a breach of a trust under which any or all of the assets of a corporation are held,” and goes on to list among the authorized persons “[t]he corporation, a member, or a former member asserting the right in the name of the corporation, provided that for the purpose of this paragraph the provisions of Section 5710 shall apply to such action.” (Corp. Code § 9142, subd. (a)(1).) Plaintiff thus argues that he brings claims “relating to a breach of trust over the majority of the church’s assets,” and thus has standing under section 9142. (Opposition at p. 4.) The Complaint briefly alleges that Plaintiff brings these claims as a member of OMC under this statute. (Complaint ¶ 15.)

Plaintiff’s

argument is not persuasive. Section 9142 authorizes an action to remedy “a breach of a trust under which any or all of the assets of a corporation are held.” (Corp. Code § 9142, subd. (a).) The statute goes on to define precisely what is meant by “trust”:

(c)

No assets of a religious corporation are or shall be deemed to be impressed with any trust, express or implied, statutory or at common law unless one of the following applies:

(1)

Unless, and only to the extent that, the assets were received by the corporation with an express commitment by resolution of its board of directors to so hold those assets in trust.

(2)

Unless, and only to the extent that, the articles or bylaws of the corporation, or the governing instruments of a superior religious body or general church of which the corporation is a member, so expressly provide.

(3)

Unless, and only to the extent that, the donor expressly imposed a trust, in writing, at the time of the gift or donation.

(Corp.

Code § 9152, subd. (c)(1)–(3).)

In

bringing an action under Section 9142, it is not enough merely to allege that

the action is to remedy a breach of trust; the plaintiff must allege facts to establish the existence of a trust under the above provisions. This much was held by the court in *Wimber v. Scott* (2025) 113 Cal.App.5th 349, in which the court affirmed the sustaining of a demurrer to representative claims brought on behalf of a religious corporation under the above statute:

11Here,

Appellants alleged they “donated substantial monetary funds to [Dwelling Place], in addition to their tithes, ... with the belief that the funds were being used to support, and further the mission of the Vineyard Movement and Vineyard USA.” Those allegations do not establish the existence of a trust within the contours of section 9142. In their reply brief, Appellants admit as much, but claim they are “prepared to plead they had written communication and allege on information and belief that others had written communication with [Dwelling Place’s] leadership outlining the purpose of their donations.” These proposed amendments are still insufficient to establish the existence of a trust within the meaning of section 9142. Rather, Appellants must be prepared to allege: (1) at the time of their gifts or donations; (2) they “expressly imposed a trust”; and (3) this expression of trust was “in writing.” (§ 9142, subd. (c)(1)–(3).) Their proposed amendments do not satisfy these requirements.

(*Wimber v. Scott* (2025) 113 Cal.App.5th 349, 361–362.) Under this authority, Plaintiff must make allegations sufficient “to establish the existence of a trust.” Plaintiff has not done so here.

The
demurrer is therefore SUSSTAINED with leave to amend.

Superior Court of
California

County of Los Angeles

Department 732

YOUNG YI LIM,

Plaintiff,

v.

taylor
gibbons, et al.,

Defendants.

Case No.: 26STCV12349

Hearing Date: September 23, 2026

[TENTATIVE] RULING RE:

Defendant Okoa Capital, LLC's Demurrer to the
Complaint.

Defendant Okoa Capital, LLC's Demurrer to the
Complaint is SUSTAINED with leave to amend.

Defendant to provide notice.

Dated: September 23, 2026

Hon.
Richard S. Kemalyan

Judge
of the Superior Court